



Australian Government
Australian Taxation Office

[Businesses and organisations](#) > [Business income, losses, deductions and concessions](#) > ...
> [Calculate your PAYG instalments](#) > How we calculate your PAYG instalment amount or rate

How we calculate your PAYG instalment amount or rate

We calculate your instalment amount or rate based on information in your most recent tax return.

Last updated 20 May 2025

On this page

[How we calculate your instalment amount](#)

[How we calculate your instalment rate](#)

[Carried-forward losses for companies](#)

How we calculate your instalment amount

We calculate your PAYG instalment amount using information from your most recent tax return.

We adjust this amount to reflect any likely growth in your income. The adjustment is based on changes in Australia's gross domestic product (GDP).

Your PAYG instalment amount is intended to reflect your expected tax liability for the year. If you vary your instalment amount or lodge a tax return, the instalment amount on your next activity statement will change, because it will be based on this new information.

How we calculate the GDP adjustment

We update the GDP adjustment factor at the start of each income year using data from the Australian Bureau of Statistics or a percentage set by law. The adjustment is based on GDP changes over the previous 2 calendar years.

The GDP adjustment for the 2026–27 income year is 5%.

If your instalment amount was solely based on your previous tax situation, with no adjustment, it might not cover your actual tax liability. This means you might have to pay extra tax when you lodge your tax return.

The GDP adjustment factor:

- applies to PAYG instalments for the 2026–27 income year for taxpayers whose quarter starts on or after 1 April 2026
- is used to calculate your PAYG instalments if you pay quarterly (or twice yearly) using the instalment amount
- does not affect you if you work out your own instalments (using the rate method) or pay annually.

How we calculate your instalment rate

We calculate your PAYG instalment rate using information from your most recently lodged tax return.

The instalment rate calculation is:

$$(\text{Estimated (notional) tax} \div \text{instalment income}) \times 100.$$

Reasonable instalment rates

If the calculated rate is more than the highest income tax rate for your entity type, we will automatically reduce it to a more reasonable rate (see [Reasonable instalment rates table \(#TableReasonableInstalmentRates\)](#)). The adjusted rate will appear on your activity statement.

Your instalment rate may be high before our adjustment if:

- you received income from an employee share scheme

- you had a compulsory repayment for a Higher Education Contribution Scheme (HECS)/ Higher Education Loan Program (HELP) debt, Student Financial Supplement Scheme (SFSS), Australian Apprenticeship Support Loan (AASL), Student Start-up Loan (SSL), ABSTUDY Student Start-up Loan (ABSTUDY SSL), or VET Student Loan (VSL) in your last tax return
- you reported income at the wrong label in your last tax return
- your return is amended to include excess superannuation contributions.

Reasonable instalment rates by entity type

Entity type	Reasonable rate
Individuals (including sole traders)	55%
Trusts	55%
Superannuation funds and self-managed superannuation funds	45%
Corporate tax entities	30%

Carried-forward losses for companies

If you are a company and carry forward a tax loss in your most recent tax return, we will adjust your taxable income (for the purpose of calculating your instalment rate) by excluding the lesser of the:

- tax loss deducted in the return
- amount of any tax loss carried forward to the next income year.

If the carried-forward loss is more than the tax loss deducted

We will use the loss you claimed when we work out the adjusted taxable income from which we calculate your instalment rate.

Example: remaining carried forward loss is more than the tax loss deducted

AJ Pty Ltd has assessable income of \$100,000, deductions of \$30,000 and a carried-forward loss of \$10,000. AJ has chosen to deduct \$4,000 of the loss in its current tax return and carry forward the balance of \$6,000 to the next year (\$10,000 minus \$4,000).

The company's tax loss deduction in the current tax return (\$4,000) is less than the carried-forward tax loss (\$6,000).

Therefore, its adjusted taxable income (which is used to calculate AJ's PAYG instalment rate) is:

Assessable income	\$100,000
minus deductions	\$30,000
minus amount of deduction for tax loss	\$4,000
Equals taxable income (adjusted)	\$66,000

If the carried-forward loss is less than the tax loss deducted

If the loss you carried forward to the next income year is less than the loss deducted in your most recent tax return, we will use the carried forward loss amount when we work out the adjusted taxable income from which we calculate your instalment rate.

Example: remaining carried forward loss is less than the loss deducted

AJ Pty Ltd has assessable income of \$100,000, deductions of \$30,000, and a carried forward loss of \$10,000. AJ claims \$7,000 of this loss as a deduction in its current tax return.

The amount of the tax loss to be carried forward (\$3,000) is less than the loss deducted in this tax return (\$7,000).

Therefore, the adjusted taxable income used to calculate AJ's PAYG instalment rate) is:

Assessable income	\$100,000
minus deductions	\$30,000
minus amount of tax loss carried forward to the next year	\$3,000
Equals taxable income (adjusted)	\$67,000

QC 68098

Our commitment to you

We are committed to providing you with accurate, consistent and clear information to help you understand your rights and entitlements and meet your obligations.

If you follow our information and it turns out to be incorrect, or it is misleading and you make a mistake as a result, we will take that into account when determining what action, if any, we should take.

Some of the information on this website applies to a specific financial year. This is clearly marked. Make sure you have the information for the right year before making decisions based on that information.

If you feel that our information does not fully cover your circumstances, or you are unsure how it applies to you, contact us or seek professional advice.

Copyright notice

© Australian Taxation Office for the Commonwealth of Australia

You are free to copy, adapt, modify, transmit and distribute this material as you wish (but not in any way that suggests the ATO or the Commonwealth endorses you or any of your services or products).